

Valkyrie Revival Fund — LP FAQ

1. Strategy Overview

Q: What is the core strategy of the fund?

A:

We acquire cash-generating subscription software businesses at deep discounts (typically 0.4–0.8x ARR) and convert them into high-margin, cash-flowing assets through operational restructuring.

Returns are driven by:

- Immediate margin expansion (target ~50% within 12 months)
- High retention of mission-critical revenue
- Reinvestment of operating cash into additional acquisitions

This is not a growth-dependent strategy. It is a cash yield and compounding model.

Q: What makes this strategy structurally different?

A:

Three structural differences:

1. Entry Price Arbitrage
We acquire below replacement value, not at market multiples.
 2. Self-Funding Growth
As shown in the model, acquisitions from Year 3 onward are funded by operating cash (e.g., \$36M+ annually), not new LP capital.
 3. Exit Optionality, Not Dependence
LP returns are driven by cash distributions (DPI reaching ~1.5x by Year 7), with exit as incremental upside.
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AI has temporarily dislocated pricing and valuations—not the fundamentals of system-of-record SaaS—creating a mispricing window that won't last.

- \$1–2T sell-off has indiscriminately repriced good and bad assets
- Durable SaaS is now available at sub-1x ARR entry points
- By the time “uncertainty clears,” pricing power and multiples will have reset

2. Track Record & Repeatability

Q: What evidence supports that this model is repeatable?

A:

The operating model is derived from prior experience scaling and optimizing software businesses to 75–80% margins in a similar model within a privately held PE firm.

For underwriting, we deliberately assume:

- Lower margin outcomes (~50%)
- No reliance on revenue growth
- Conservative retention assumptions

The strategy is built on repeatable operational levers, not unique turnarounds. You can view case studies here. [link to private webpage Appendix pdf]

Q: What has to go right for this strategy to work?

A:

Only three things:

1. Revenue remains durable (not growing) (would this sound better if we said “it doesn't have to grow”? That sounds slightly more positive, I think.
2. Costs can be rationalized quickly
3. Capital can be recycled into additional acquisitions

All three are within operational control — not market-dependent.

3. Market Opportunity & Sourcing

Q: Why does this opportunity exist?

A:

The lower middle-market software ecosystem is structurally inefficient:

- Founder fatigue and undercapitalization
- Subscale assets ignored by large funds
- Brokers focused on higher-multiple transactions

Additionally:

- AI disruption is creating the need for rehabilitation faster than incumbents can adapt
- Many assets are operationally broken, not commercially broken

We are competing in a fragmented, under-optimized market, not an auction-driven one.

Q: Why aren't more investors pursuing this strategy?

A:

Because the strategy requires:

- Full operational control (not minority investing)
- Hands-on execution capability
- Willingness to acquire “messy” assets

Most capital cannot execute this model — it is operator-constrained, not capital-constrained.

4. Capital Deployment & Portfolio Construction

Q: How is capital deployed over time?

A:

- Years 1–2: ~\$120M LP capital deployed into initial acquisitions
 - Years 3–9: Acquisitions funded primarily through operating cash (e.g., \$36M/year in multiple periods)
 - No reliance on additional LP capital
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Q: How diversified is the portfolio?

A:

- Initial platform: ~3 assets
- Total portfolio: ~10–11 assets over fund life
- No single asset represents a majority of NAV

Risk is diversified across:

- Multiple verticals
 - Independent revenue bases
 - Separate customer cohorts
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Q: What happens if deployment slows?

A:

Returns remain intact because:

- Existing assets generate cash
 - Capital can be held or distributed
 - The model does not depend on full deployment velocity
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5. Financial Model & Return Drivers

Q: What drives returns in this model?

A:

Three primary drivers:

1. Margin Expansion
 2. Immediate cost restructuring drives profitability
 3. Cash Flow Compounding
Operating cash funds new acquisitions (visible from Year 3 onward)
 4. ARR Scaling
ARR grows from ~\$20M to ~\$200M+ across the fund lifecycle
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Q: How sensitive are returns to growth assumptions?

A:

Minimally.

The model assumes:

- Flat-to-modest ARR growth
- No reliance on multiple expansion

Returns are driven by cash yield and reinvestment, not top-line growth.

Q: How sensitive are returns to churn?

A:

Churn is the primary sensitivity.

However:

- Assets are selected for mission-critical use cases
- Revenue is embedded in customer workflows
- Operational improvements increase retention

Even under elevated churn:

- Margin expansion offsets revenue loss
 - Assets remain cash-generative
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6. Distribution Policy & Liquidity

Q: When do LPs receive cash distributions?

A:

Distributions begin once:

- Pref + hurdle are satisfied (Years 2–5)
- Excess cash accumulates (from Year 7 onward)

Illustratively:

- DPI ~1.5x by Year 7
 - Significant distributions in Years 9–10
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Q: Are returns dependent on exit?

A:

No.

The model generates:

- Recurring distributable cash
- Meaningful DPI prior to exit

Exit is optional optimization, not required for returns.

7. Valuation Framework

Q: How is the portfolio valued?

A:

Valuation is based on:

- ARR scale
- Cash flow generation
- Portfolio durability

Exit guidance uses conservative benchmarks (~4x ARR), well below market peaks.

Importantly:

- LP returns do not depend on multiple expansion
 - Valuation is secondary to cash generation
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8. Risk & Downside Protection

Q: What happens if the operating model underperforms?

A:

We explicitly model a downside case where execution falls short:

- Net margins reach only ~25% (vs. ~50% base case)
- Revenue is flat-to-declining
- No reliance on exit multiple expansion

Even under these conditions:

- The portfolio remains cash-flow positive
- The fund continues to generate distributable cash
- LPs still achieve positive returns, albeit at reduced levels

This is enabled by:

- Low entry valuations (0.4–0.8x ARR)
- Immediate focus on profitability
- A model driven by cash generation, not exits

The strategy is designed to remain economically viable even under partial execution failure, not just in the base case.

Q: What is the biggest risk to the model?

A:

Execution risk:

- Failure to achieve cost normalization
- Misjudging revenue durability

This is mitigated through:

- Full control acquisitions
 - Standardized operating playbooks
 - Conservative underwriting
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9. AI & Market Risk

Q: Does AI threaten the strategy?

A:

No — it reshapes it.

AI weakens:

- Commodity software
- Task-based tools

But strengthens:

- Systems of record
- Compliance-driven platforms

We exclusively target the latter.

Additionally:

- AI improves our operating efficiency
 - Reduces modernization costs
 - Enhances product value
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10. Execution Model

Q: How do you scale acquisitions without degrading performance?

A:

Through systemization, not headcount.

- Each acquisition follows a standardized “Revival” process
- Shared services centralize all core functions
- Internal systems encode operational knowledge

This enables:

- Parallel execution
 - Consistent outcomes
 - Rapid issue resolution
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Q: What is the true operational bottleneck?

A:

Sourcing and selecting the right assets — not integration.

We deliberately constrain:

- Deal selection
- Revenue quality thresholds

This ensures execution quality remains high.

11. Alignment, Fees & Structural Advantages

Q: How is your fee model different from traditional private equity?

A:

Traditional private equity funds charge management fees on committed capital during the investment period, creating structural misalignment:

- Fees are paid regardless of performance
- LP capital is used to fund GP operations
- Returns must first overcome fee drag

Our model is designed differently:

- Management fees are linked to portfolio performance and revenue over time, rather than solely to committed capital
- Fees are intended to be increasingly supported by portfolio operating cash flow as assets become productive
- LP capital is primarily deployed into acquiring and scaling assets

The structure aligns GP economics with asset performance and cash generation, rather than capital formation.

Q: How does your model reduce fee drag?

A:

In a traditional \$100M private equity fund:

- ~2% management fees over 5 years = ~\$10M–\$12M
- These fees are drawn from LP capital and are not invested
- LPs effectively earn returns on a reduced capital base

In our model:

- Management fees are expected to be predominantly funded from portfolio cash flow over time
- As assets become operational, fee support shifts from capital to recurring revenue

During early stages (e.g., pre-close or initial acquisitions):

- Limited use of LP capital for fees may occur, consistent with fund documentation
- This is transitional and declines as the portfolio becomes cash-generative

Result:

- Majority of LP capital remains deployed into assets
- Reduced structural fee drag over the life of the fund
- Higher effective compounding base for LPs

Fees are designed to be funded primarily by performance over time, rather than by principal at inception.

Q: How are GP incentives aligned with LP outcomes?

A:

Alignment is embedded structurally:

- GP economics are tied to portfolio performance and cash flow generation
- Fee support increases only as assets produce revenue
- Underperformance directly impacts GP economics

The GP is economically aligned with realized performance, not capital raised.

Q: What is the Management Company Performance Allocation (MCPA)?

A:

MCPA aligns the operating team with LP outcomes in an operator-led model.

- The strategy requires active ownership and execution, not passive investing
- MCPA allocates performance-based economics to the operators responsible for value creation

- It is structured transparently within the fund waterfall, not embedded in transaction-level costs

Importantly:

- MCPA is set at a percentage of exit proceeds
- It is subordinated to LP outcomes, paid only after:
 - Return of LP capital
 - Preferred return and hurdle
 - GP catch-up
- GPs and Founders do not participate, preventing duplication of economics

The MCPA ensures that execution is driven by dedicated operators whose incentives are directly tied to realized performance.

Q: How should LPs think about MCPA in the context of the overall fee structure?

A:

The MCPA is a performance-based reallocation of economics, not an incremental layer of cost.

In traditional private equity:

- A meaningful portion of LP capital is consumed by fixed management fees
- Operator incentives are often indirect or inconsistently structured

In our model:

- Structural fee drag is reduced by shifting fee support toward portfolio-generated cash flow over time
- A portion of economics is instead allocated through the MCPA, which is:
 - Earned only upon realized value creation
 - Subordinated to LP returns
 - Paid to execution-focused operators, not capital providers

Result:

- Economics are redirected from fixed fee extraction toward performance-driven value creation
- Compensation is earned through outcomes, not activity

LP capital is primarily used to acquire assets, with fees increasingly supported by portfolio performance and economics directed toward value creation.

12. Key Person & Governance

Q: How is key person risk managed?

A:

- Core operators are economically aligned through fund structures
- Operational knowledge is systemized, not individual-dependent
- Governance is embedded at the fund level

The model is designed to be repeatable beyond any single individual.

13. The Hard Questions

Q: What has to go wrong for LPs to lose money?

A:

A combination of:

- Severe and sustained revenue collapse
- Failure to achieve cost reductions
- Inability to redeploy capital

All three would need to occur simultaneously.

Q: Why doesn't a larger fund replicate this?

A:

Because:

- It requires hands-on control of small, underoptimized assets
- It is operationally intensive
- It does not scale through capital alone

This is a skill-constrained strategy, not a capital-constrained one.

